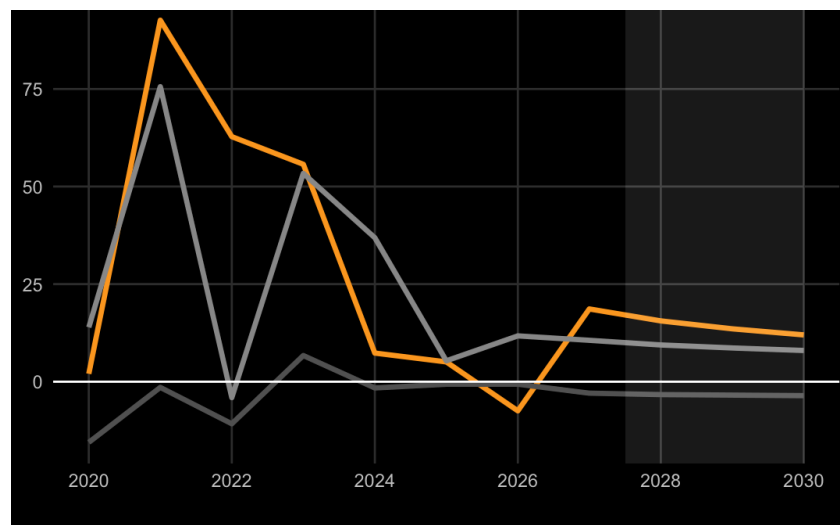


EV Sales to Rise 20% by 2027 as Iran War Fuels Demand

By Michael Han, edited by Matt Winkler and Shin Pei at Bloomberg

(UC Berkeley) -- Electric-vehicle (EV) sales will grow as much as 20% in 2027, outpacing gas-powered or internal combustion engine (ICE) cars, which will decline about 3%, according to data compiled by Bloomberg.



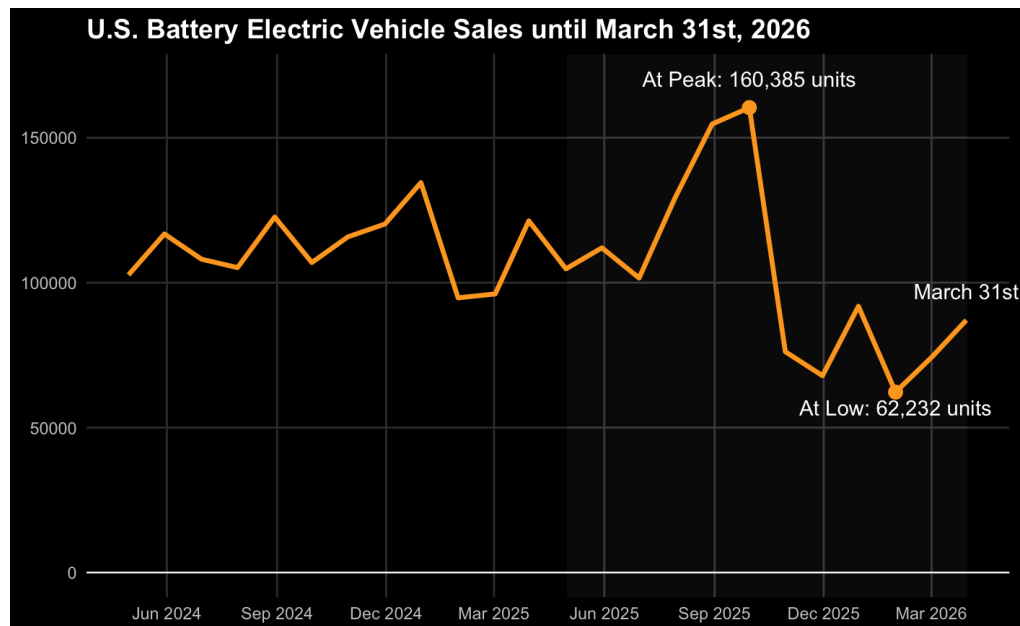
US Battery-Powered Electric Vehicle Sales Forecast to 2030

The 20% sales increase in 2027 would mark the strongest annual gain since 2020, while gasoline-powered and hybrid vehicles decline, according to Bloomberg analysts. Tesla Inc., the largest automaker by market capitalization that produces electric vehicles such as Model Y, which is the best-selling vehicle for the past three years, reported about 20% growth in April, its largest increase from a year earlier.

“While the recent increase in gas prices has had a positive impact on the order rate, this improvement started before the uptrend in gas prices,” said Vaibhav Taneja, chief financial officer, because Tesla vehicles are more affordable.

President Trump’s Iran war and rising gas prices that followed are influencing potential car buyers. CarEdge, an AI-driven platform that helps car buyers negotiate with dealerships, said that there was as much as 20% more search traffic for electric

vehicles in the week following the initial attack on Iran, compared to the prior week. EV sales in general rose about 17% in March from February.



U.S. Battery Electric Vehicle Sales until March 31st, 2026

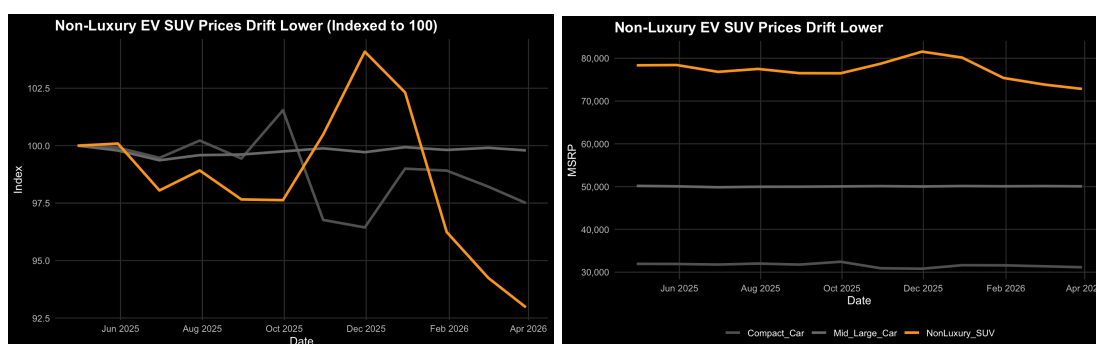
“What’s happening is that we finally have a place where EVs should have always been, which is that it’s now a market-driven decision,” said Brian Moody, previously executive editor at Cox Automotive and now working as an independent automotive and transportation expert. “Price, use, and desirability are fueling EV sales, new and used, which should have always been the case to begin with.”

President Donald Trump ended federal subsidies for electric vehicles in September, removing incentives of up to \$7,500 per car. EV sales have since fallen about 58% from a peak of 160,000 units that month to 67,906 in January, the lowest level since 2022.

ICE vehicles are expected to steadily lose market share through the end of the decade, while both battery-electric and hybrid vehicles gain ground, according to Bloomberg Intelligence forecasts. Fully electric vehicles are projected to account for roughly a quarter of global sales at a 30% market share by 2030. ICE vehicles are projected to lose 23 percentage points of market share, falling to roughly 39% by the same year.

A prolonged Iran war leading to recession could hurt the US automotive industry, said Steve Man and Peter Lau, Bloomberg Intelligence senior industry analysts. “A sustained spike in Brent crude oil favors automakers like Toyota, Tesla, and Rivian due to their many hybrids and affordable battery electric vehicles,” said Man and Lau.

Higher upfront prices and charging constraints are worrying potential EV buyers. The average price for electric SUVs fell to \$72,837 in March from a record \$84,656 in January — 30% more than the national average sales price for a new car, according to data compiled by Bloomberg. More than 56% of car buyers are concerned about the lack of charging stations, according to a June 2015 AAA survey of 1,128 U.S. adults.



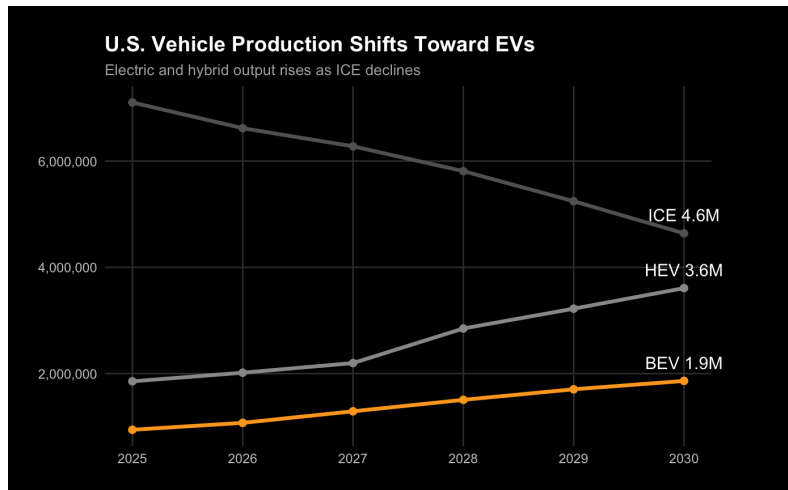
US Battery Electric Vehicles Average MSRP, Edmunds on Bloomberg Terminal

Nearly three-quarters of car buyers cite fuel savings as a key appeal of owning an electric vehicle, according to AAA. EVs can save between \$6,000 and \$10,000 over gasoline cars, which require more maintenance due to more moving parts, according to Consumer Reports. EV fuel costs are about 60% lower, with drivers spending roughly \$1,000 for every \$1,800 on gasoline.

Sales of new electric vehicles fell about 58% in October following the cancellation of subsidies of as much as \$7,500 per vehicle at the end of September, while sales of gasoline-powered cars rose roughly 27% over the same period. More customers are pivoting to the used car market as the Manheim U.S. Used Vehicle Value Index climbed to 213 in April, the highest since 2023, according to data compiled by Bloomberg. The Manheim U.S. Used Vehicle Value Index tracks wholesale prices of used cars sold at auction.

“More people are going to be looking at used EVs,” said Moody. “Because they’re such a great deal.”

U.S. automakers are expected to increase production of electric vehicles by 20% in 2027 to 1.073 million units and 44% in 2030 to 1.862 million units, while the production of ICE vehicles is expected to fall 5% in 2027 to 6.278 million units and 26% in 2030 to 4.640 million units according to data compiled by Bloomberg.



US Vehicle Production Forecasts by Powertrain

President Donald Trump imposed a 25% tariff on imported vehicles in April, including those from China, the largest parts and vehicle supplier for Tesla Inc. and the second-largest parts source for Lucid Group Inc., a Northern California-based automaker that produces luxury EVs, and Rivian Automotive Inc, a Southern California-based automaker that produces electric pickup trucks. Tesla says tariffs and sustained-high-interest rates increase automotive costs. “Tariffs in this business can have outsized impacts as most of the battery cells are procured from China,” said Taneja.

Trump said in January that he’d welcome investments from foreign automakers, including China. U.S. auto lobby groups have been advocating against Chinese automakers coming into the U.S., citing national security concerns and disrupting America’s car industry. Talk has been scheduled in mid-May between Trump and Chinese President Xi Jinping in Beijing, with some anticipation involving Chinese automakers evaluating the U.S. market.